Life Insurance: Comparing Term and Bundled Products

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Key Takeaways

- Term insurance provides protection for a fixed period of time, and generally costs less
- Products that bundle a protection and an investment component generally cost more

- Products that have an investment component expose you to investment risk

When it comes to choosing life insurance, you have many options. Before asking which product is right for you, ask yourself why you want to be insured. Knowing this will help you narrow down your search for a suitable policy.

Do you want to:

- Provide for your loved ones when you are no longer around?
- Reduce financial loss due to illness or injury?
- Protect, save and invest your money for retirement?
- Leave behind some money for your loved ones as part of your estate?

Life insurance products fall under two broad categories: for protection only, and for protection and investment.

For Protection Only

Term Insurance

Term insurance is the simplest protection product that is usually the most affordable. It provides insurance coverage for a fixed period. An example of term insurance is the Dependents' Protection Scheme.

Buy term insurance if you only need protection coverage for a fixed period of time. For example, you want to be covered until your youngest child completes university or is financially self-reliant.

For Protection And Investment

Whole Life Policy (participating and non-participating)

Whole life insurance policies provide life-long protection and also build savings which are subject to investment risk.

Endowment Policy

Endowment policies are often marketed as a form of savings to help you meet a specific financial goal, such as paying for your children's education, or building up a pool of savings over a fixed term.

However, they are not like deposits. You may not get back what you put in. A small part of your payments will pay for the insurance coverage while the rest is invested and subject to investment risk.

Investment-Linked Policy (ILP)

ILPs have both a life insurance and an investment component. Premiums are used to pay for units in the sub-funds of your choice. Some of the units that you buy are then sold to pay for insurance coverage and for

other fees and charges, while the rest remain invested.

Annuity Policy

An annuity provides a retirement income as it guarantees fixed payments at monthly intervals, for as long as the policyholder lives, or for a fixed period.

Riders

Riders may be offered to enhance the benefits of the original policy, e.g. coverage for critical illnesses. Additional premiums have to be paid for the riders and the premiums could increase with age.

Term Versus Bundled Products

Compare both types of products as each product fulfils a specific purpose. Decide what features and benefits match your needs and buy the product that best meets them.

	Term
Type	Unbundled
Cost of Premiums	Most affordable
Cash value	Typically none
Investment Risk	None

Premium Level	Constant. Premiums are revised upon renewal.

	Participating Whole Life
Type	Bundled
Cost of Premiums	More than term
Cash Value	Yes. Cash value comprises guaranteed benefits and future non-guaranteed bonuses. Surrender value of guaranteed bonuses may be less than the total cash value of the policy.
Investment Risk	You bear investment risks of the non-guaranteed bonuses
Premium Level	Typically constant. Premiums can be paid on a regular basis.

	Participating Endowment
Type	Bundled
Cost of Premiums	More than term
Cash Value	Yes. Cash value comprises guaranteed benefits and future non-guaranteed bonuses. Surrender value of guaranteed bonuses may be less than the total cash

	value of the policy.
Investment Risk	You bear investment risks of the non-guaranteed bonuses
Premium Level	Typically constant. Premiums can be paid on a regular basis.

	Non-Participating Endowment/ Whole Life
Type	Bundled
Cost of Premiums	More than term
Cash Value	Yes. Cash value comprises guaranteed benefits only. There are no bonuses.
Investment risk	None
Premium Level	Typically constant. Premiums can be paid on a regular basis.

Understanding Insurance

Insurance can be a safeguard against financial loss. Get an overview on the types of insurance and understand the difference between life, health and general insurance.

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